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A. BACKGROUND

1. Hindenburg Research, a United States based financial research firm and short seller published a report on January 24, 2023, against Adani Group (hereinafter referred to as "**Hindenburg Report**") which, inter-alia, alleged that Adani Enterprises Ltd (hereinafter referred to as "**AEL/Noticee no.3**") and Adani Power Mundra Ltd. [now merged with Adani Power Ltd. ("**APL/Noticee no.2**") were funded by Milestone Tradelinks Pvt. Ltd. (hereinafter referred to as "**MTPL**"/**Noticee no.7**) and Rehvar Infrastructure Pvt. Ltd. (hereinafter referred to as "**RIPL**"/**Noticee no.8**) through Adani Infra (India) Limited (hereinafter referred to as "**AAIL**") in FY 2020-21. Further, Hindenburg Report, questioned the original source of funds of *Noticee nos. 7 and 8*.

B. ALLEGATIONS MADE AGAINST NOTICEES IN THE SHOW CAUSE NOTICE (SCN)

2. Considering the allegations made in the Hindenburg Report, SEBI carried out a detailed investigation in the matter in order to ascertain any possible material misrepresentation or misstatement in the financial statements, attempt to circumvent provisions of the Securities and Exchange Board of India Act, 1992 (hereinafter referred to as "**SEBI Act, 1992**"), SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (hereinafter referred to as "**LODR Regulations**") and SEBI (Prohibition of Fraudulent and Unfair Trade Practices Relating to Securities Market) Regulations, 2003 (hereinafter referred to as "**PFUTP Regulations**") or any other Rules or Regulations made thereunder for the period from financial year 2018-19 to 2022-23 (hereinafter referred to as "**investigation period**").
3. It was observed in the SCN that *Noticee nos.2 and 3* (companies under the Adani Group) consistently received funds directly from *Noticee nos. 7 and 8* and the source of funds for *Noticee nos.7 and 8* were majorly from the related parties of *Noticee nos.2 and 3* which included the Adani Ports & Special Economic Zone Limited (hereinafter referred to as "**APSEZ/Noticee no.1**"). It was also observed in the SCN



that *Noticee nos. 7 and 8* had also transferred funds to certain other companies of the Adani Group. The fund transactions amongst *Noticees* is detailed in the subsequent paragraphs.

B.1. Allegations in the SCN with regard to financial transactions entered into between (i) the *Noticee no. 1* with *Noticee nos. 7 and 8* and vice versa; (ii) the *Noticee no. 2* with *Noticee nos. 7 and 8* and vice versa and (iii) the *Noticee no. 3* with *Noticee nos. 7 and 8* and vice versa:

4. The analysis of bank transactions of *Noticee nos. 7 and 8*, showed that funds were transferred by the *Noticee no.1* to *Noticee nos. 7 and 8* which was further transferred to related parties of the *Noticee no.1* including *Noticee nos. 2 and 3*. In **majority** of the transactions, these funds were transferred by *Noticee nos. 7 and 8* to the related parties of the *Noticee no.1* (including *Noticee no.2 and 3*). Similarly, *Noticee nos. 7 and 8* repaid the funds to the *Noticee no.1*, **majorly** from the repayments received from related parties of the *Noticee no.1* (including *Noticee nos.2 and 3*).
5. The SCN has alleged that during F.Yrs. 2018-19 to 2022-23, the *Noticee nos.1, 2 and 3* entered into lending and borrowing transactions through *Noticee nos. 7 and 8* which were not classified as related party transactions. For this purpose, while looking into the bank accounts, a summary was made of various amounts given by the *Noticee no.1* to *Noticee nos. 7 and 8* which was immediately advanced/onward transferred to *Noticee nos. 2 and 3*, other related parties of the *Noticee no.1* and non-related parties of the *Noticee no.1*. The details of return of all the loans was also included in the SCN. Similarly, loans given by *Noticees nos. 7 and 8* to *Noticee nos. 2 and 3* has also been included along with the source of funds being the *Noticee no.1*, other related parties of *Noticee nos. 2 and 3* and non-related parties of *Noticee nos. 2 and 3*. Similarly, repayment of loan from *Noticee nos. 2 and 3* to *Noticee nos. 7 and 8* has also been included in the SCN. It is also noted in the SCN that most of the loans given by the *Noticee no. 1* to *Noticee nos. 7 and 8* were repaid in the investigation period.



nos. 2 and 3 including the *Noticee no.1*. Both *Noticee nos.7 and 8* have very insignificant net worth and most of their profits have been generated out of transactions entered with Adani Group of Companies. It is alleged that *Noticee nos.7 and 8* knowingly allowed itself to be used merely as a conduits and facilitated the circumvention of material-related party transactions. By acting as conduits, *Noticee nos. 7 and 8*, have allegedly not only aided and abetted but knowingly facilitated the commission of fraud by both the listed companies namely, *Noticee nos.1 and 2*, in concealing the true identity of material related party transactions. The above acts of *Noticee nos. 7 and 8* resulted in aiding, abetting and facilitating the transfer of funds amongst *Noticees nos. 1 and 2*.

25. In addition to the above, the SCN has observed that directors and shareholders of *Noticee nos. 7 and 8* were found to be having directorship with companies connected with some of the Adani Group Entities. However, on examination, it was noted that these companies are not *Noticees nos. 1, 2 and 3* of the instant matter during the investigation period.

B.7. The violations alleged against Noticees are as follows:

26. *Noticee nos.1 and 2*

- (a) Regulation 4(1) (a), (b), (c), (h), (i); 4(2)(e)(i); 23(2) and (4); 34(3) r/w Clause 1 & 2 of Part A of Schedule V & 48 of the LODR Regulations read with Ind-AS 24.
- (b) Section 12A(b) and (c) of the SEBI Act 1992; Regulation 3(c) and (d), 4(1); and 4(2)(f) and (k) of the PFUTP Regulations.

27. *Noticee no.3:*

Regulation 4(1) (a), (b), (c), (h), (i); 4(2)(e)(i); 23(2); and 34(3) r/w Clause 1 & 2 of Part A of Schedule V & 48 of the LODR Regulations read with Ind-AS 24.



28. Noticee nos. 4 and 5:

- (a) Regulation 4(1) (a), (b), (c), (h), (i); 4(2)(e)(i); 23(2) and (4); and 34(3) r/w Clause 1 & 2 of Part A of Schedule V & 48 of the LODR Regulations read with Ind-AS 24.
- (b) Regulation 4(2)(f)(ii)(2),(6),(7) and (8); and 4(2)(f)(iii)(1),(3),(6) and (12) of the LODR Regulations.
- (c) Section 12A(b) and (c) of the SEBI Act and Regulation 3(c) and(d); 4(1); and 4(2)(f) and (k) of the PFUTP Regulations.
read with Section 27 of the SEBI Act, 1992.

29. The *Noticee no.4* has also violated Regulation 17(8) and 18(3) read with Part C of Schedule II of the LODR Regulations.

30. Noticee no.6:

- (a) Regulation 4(1) (a), (b), (c), (h) and (i); 4(2)(e)(i); 17(8); 23(2) and (4); and 34(3) r/w Clause 1 & 2 of Part A of Schedule V & 48 of the LODR Regulations read with Ind-AS 24.
- (b) Section 12A(b) and (c) of the SEBI Act, 1992 and Regulation 3(c) and (d); 4(1); and 4(2)(f) and (k) of the PFUTP Regulations.
read with Section 27 of SEBI Act, 1992

31. Noticee nos.7 and 8

Section 12A(b) and (c) of the SEBI Act 1992 and Regulation 3(c) and (d); 4(1); and 4(2)(f) and (k) of the PFUTP Regulations.

32. Vide the SCN, *Noticees Nos. 1, 2, 4, 5 and 6* were called upon to show cause as to why suitable directions as deemed fit should not be issued under sub-section (1) and (4) of section 11 and sub-section (1) of section 11B of the SEBI Act, 1992. Further, the above *Noticees* have also been called upon to show cause as to why



suitable monetary penalty be not imposed under sub-section 4A of section 11, sub-section (2) of section 11B, read with sub-section (b) of section 15A, 15HA, 15HB of the SEBI Act 1992 for the alleged violations of provisions of law as narrated above.

33. The *Noticee no. 3* was called upon to show cause as to why suitable directions as deemed fit should not be issued under sub-section (1) and (4) of section 11 and sub-section (1) of section 11B of the SEBI Act, 1992. Further, the *Noticee no.3* has also been called upon to show cause as to why suitable monetary penalty be not imposed under sub-section 4A of section 11, sub-section (2) of section 11B, read with sub-section (b) of section 15A and 15HB of the SEBI Act 1992 for the alleged violations of provisions of law as narrated above.
34. *Noticee nos. 7 & 8* were called upon to show cause as to why appropriate imposition of monetary penalty under sub-section 4A of section 11, sub-section (2) of section 11B, read with 15HA of the SEBI Act 1992 for the alleged violations of provisions of law as narrated above.
35. Based on the findings of investigation, the SCN dated January 15, 2024 was issued to all *Noticees*. As per the request of *Noticees* inspection of documents was provided to *Noticees nos. 1 to 6* on February 22, 2024 and March 7, 2024 and to *Noticees nos. 7 and 8* on March 18, 2024. Vide letters dated April 22, 2024, *Noticees nos. 1 to 6* and vide letters dated May 7, 2024, *Noticee nos. 7 and 8* filed their replies to the SCN. In continuation to the above submission, the *Noticees nos. 1, 2 and 3* were also advised to provide information with respect to loan given/taken by them along with the interest received/paid along with copies of the bank statements highlighting the aforesaid transactions. Accordingly, *Noticees nos.1, 2 and 3* submitted the required information//documents.



C. HEARING AND SUBMISSIONS OF NOTICEES

C.1. Hearing

36. Pursuant to submission of replies to the SCN, an opportunity of personal hearing was granted to *Noticees* on July 10, 2024. However, all *Noticees* requested for an adjournment of hearing and the same was acceded to. Hearing was then fixed for September 19, 2024, which was attended by legal representatives of *Noticees*. The matter was partly heard and the next date of hearing was scheduled for October 1, 2024. However, due to certain administrative exigencies, the hearing was re-scheduled for October 3, 2024. The hearing in the matter was concluded on the said date. During the hearing, the legal representatives of *Noticees* made submissions in line with the replies filed by them. *Noticees* filed their post hearing submissions within two weeks' of the timeline granted to them. It was noted that *Noticees* had earlier filed settlement applications on various dates in March 2024. It was noted that in terms of sub-regulation (1) of regulation 8 of the SEBI (Settlement Proceedings) Regulations, 2018, the filing of an application for settlement of any specified proceedings did not affect the continuance of the proceedings save the passing of the final order which was required to be kept in abeyance till the disposal of settlement application. Accordingly, hearings were completed but issuance of the final order was kept in abeyance till the disposal of settlement applications. Further, *Noticees* subsequently withdrew their settlement applications on various dates in June 2025 and accordingly the case was then considered for issuance of the final order.

C.2. Summary of replies filed by Noticees

37. Reply to SCN was filed by *Noticees nos. 1 to 6* vide letters dated April 22, 2024 and by the *Noticee nos. 7 and 8* vide letters dated May 7, 2024. Post hearing submissions were filed by *Noticees nos. 1 to 6* vide letters dated October 22, 2024 and by the *Noticee nos. 7 and 8* vide letters dated October 21, 2024. A summary of submissions made by *Noticees* is as under:



38. Main points from submissions of Noticee nos.1 to 6 are summarised below:

38.1. The SCN is erroneously based on the report of Hindenburg which has no evidentiary value and no reliance could be placed thereon. In support of their plea, Noticees have made reference to Judgment of Hon'ble Supreme Court passed in the matter of **Vishal Tiwari vs Union of India, 2024 SCC Online SC15**, wherein the Hon'ble Court, inter alia, directed that "*SEBI and investigative agencies of the Union Government shall probe into whether the loss suffered by Indian investors due to conduct of Hindenburg Research and any other entities in taking short positions involved any infraction of the law and if so, suitable action shall be taken*". SEBI is a party in the said matter and therefore ought not to have issued the SCN based on the report of Hindenburg.

38.2. The SCN is vague and does not provide adequate details for an appropriate response from Noticees. The SCN is required to contain the specific direction and the exact nature of the measures proposed to be adopted. The SCN has not clearly set out specific charges and the basis of allegations of the provisions of the SEBI Act and the PFUTP Regulations. The SCN is only based on suspicion and suspicion cannot be placed as proof or evidence. In support of this plea reliance has been made on the following judgments of the Hon'ble Supreme Court: (i) *Gorkha Security Services vs Govt. of NCT of Delhi & Ors.*, (2014) 9SCC 105; (ii) *Royal Twinkle Star Club Pvt. Ltd. vs SEBI* (2016) SCC Online SAT 16; (iii) *Gian Mahtani and Anr vs The State of Maharashtra and Anr.* (1971)(2) SCC 611, and order of the Hon'ble Securities Appellate Tribunal (hereinafter referred to as "**Hon'ble SAT**") in the matter of *Swaranganga Trading Pvt. Ltd. vs Adjudicating Officer, SEBI* (Appeal no.74 of 2009).

38.3. The transactions between the Noticee no.1 and Noticee nos. 7 and 8; and transactions between Noticee nos. 7 and 8 with Noticee nos. 2 and 3 were separate and distinct transactions, admittedly not entered into between related parties as Noticee nos. 7 and 8 are not related parties to Noticees nos. 1, 2, and



3. The transactions impugned by the SCN were in compliance with prevailing law in force at the time the transactions were undertaken and cannot be claimed as being violative of the LODR Regulations and PFUTP Regulations.

38.4. It is impermissible for SEBI to invoke '*substance over form*' or '*spirit of the law*' approach in view of the clear language of the provisions and their intended application. Clause (zc) of sub-regulation (1) of regulation 2 of the LODR Regulations, only direct transactions between related parties were covered and not indirect transactions. Clause (zc) of sub-regulation (1) of regulation 2 of the LODR Regulations which covers transactions entered into between listed company through unrelated parties came into force from April 1, 2023. Hence, transactions of *Noticees nos. 1, 2 and 3*, through *Noticee nos.7 and 8* does not come under the definition of '*related party transactions*'. The requirement to comply with the LODR Regulations arises only if the entities fall under the '*related party*' definition as applicable before the amendment and hence not applicable in the instant case.

38.5. Para 11 of IndAS-24 states that '*providers of finance*' are not treated as related parties by virtue of their normal dealings with an entity even though they may affect the freedom of action of any entity or participate in its decision making process. Thus, IndAS-24 would exempt *Noticees nos.1, 2 and 3* from treating the *Noticee nos.7 and 8* as a related party for its transactions. Therefore, the transactions of *Noticees nos.1, 2 and 3* with *Noticee nos.7 and 8* and vice versa, are not related party transactions, even for the purpose of Ind-AS 24. It is SEBI's stated case that, the *Noticee nos.7 and 8*, which are non-related entities have been used as a conduit to circumvent the provisions applicable to related party transactions. The SCN does not allege that the *Noticee nos. 7 and 8* are related parties of *Noticees nos.1, 2 or 3* and hence the requirements under sub-section 76 of section 2 of Companies Act, 2013 and Ind-AS-24 are not satisfied. In fact, IndAS-24 specifically states that mere common directorship cannot be a ground for two entities to be referred to as related parties. Hence the impugned



transactions of *Noticees* are not '*related party transactions*' and were in compliance of the relevant provisions of the LODR Regulations applicable during the investigation period.

38.6. SEBI's Memorandum on '*Review of regulatory provisions on Related Party Transactions*' which was placed before the SEBI Board on September 28, 2021 explains that the amendment to the definition of '*related party transaction*', '*was proposed to be broadened to include transactions which are undertaken, whether directly or indirectly with the intention to benefitting related parties*'. Further, SEBI by way of sixth amendment to the LODR Regulations in 2021 expanded the definition of '*related party transactions*' prospectively. Under this amendment, transactions between listed entity and third parties/unrelated parties are inter alia treated to be the related party transactions if the purpose of such transactions was to benefit a related party of the listed entity. This amendment was prospective in nature and comes into effect from April 1, 2023. If the definition of '*related party transactions*' always included within its purview, indirect transactions undertaken by listed entity through unrelated parties which benefitted its related parties there would have been no need for SEBI to introduce clause (zc) in sub-regulation (1) of regulation 2 of the LODR Regulations, which expressly provide its deferred prospective operation. Following judgements of Hon'ble Supreme Court has been relied upon by *Noticees* in support of this submission: (i) *Union Bank of India vs Martin Lottery Agencies (2009) 12 SCC 209*; (ii) *SEBI vs Magnum Equity (2015) 16 SCC 721*; (iii) *C Gupta vs Glaxo Smithkline Pharamceuticals Ltd.(2007) 7 SCC 171*.

38.7. As noted in the report of the expert committee, the amendments to the definition of '*related party transactions*' contained in the LODR Regulations were given deferred effect to enable companies to re-arrange their affairs to become compliant with the law since SEBI chose to follow a "*glide path*" approach.



38.8. *Noticees nos.1, 2 and 3* were fully complied with the un-amended provisions of the LODR Regulations applicable during the investigation period. The applicable un-amended clause (zb) of sub-regulation (1) of regulation 2 of the LODR Regulations defines a related party as “a related party” as defined under sub-section 76 of section 2 of the Companies Act, 2013 or under the applicable accounting standards. None of the conditions provided under sub-section 76 of section 2 of the Companies Act, 2013 applies to the relation between *Noticees nos.1, 2 or 3* on the one hand and with *the Noticee nos. 7 or 8* on the other hand. Further, *Noticees nos.1, 2 and 3* on one hand and the *Noticee nos.7 and 8* on the other hand are not even related parties under Ind-AS 24. Therefore, the transactions between them are not related party transactions even for the purpose of Ind-AS 24. In this regard, *Noticees* have relied on the order dated September 26, 2019 passed by the Hon’ble SAT in the matter of *ITC vs SEBI*, wherein SEBI submitted that the plain language of the definition/provision would show that a specific transaction would amount to related party transaction only when the transaction is between a company and its related party, which was not the case. Hon’ble SAT accepted the submissions made by SEBI and held that since the transactions in question were with third parties, they could not be classified as related party transactions. *Noticees* submitted that, it is not open to SEBI to go beyond the four corners of the provisions of the law and claim circumvention, when there was no illegality.

38.9. SEBI’s reliance on Ind-AS 24 to incorporate the substance over form doctrine is misplaced since the accounting standard does not anywhere state that in considering a related party relationship, the ‘*substance*’ of the relationship has to be taken into account and not the legal form. In the absence of any such principle, invocation of ‘*substance over form*’ doctrine in respect of transactions prior to the coming into force of the LODR Regulations is erroneous. SEBI’s invocation of the doctrine of “*substance over form*” in the present case is wholly devoid of merit. Reliance is placed on the judgement of Hon’ble Supreme Court in the matter of



3; sub-regulation (1) of regulation (4); clauses (f) and (k) of sub-regulation (2) of regulation (4) of the PFUTP Regulations. These allegations are against *Noticees nos. 1, 2, 7 and 8* and vicarious liability is fastened on *Noticee nos. 4, 5 and 6* for violations committed by *Noticee nos. 1 and 2* by invoking section 27 of the SEBI Act.

53. This issue is also same as the issue that was dealt by me in the earlier order passed today. The differential facts outlined in para 48 of this order would not make the outcome of the issue different in these orders as the core matter involved in the issue no 2 is whether the facts of this case warrant action of *Noticees* to be classified as Fraudulent? This would not get impacted by slight difference in facts in these two cases.
54. In the earlier order passed today, I have discussed in details how the allegation in Issue no.2 is linked to alleged transactions being in substance related party transactions and how there is no allegation of siphoning off of money/loss to investors since all loan with interest has been repaid before the start of the investigation. I have also discussed the definition of the term “Fraud” in clause (c) of regulation 2 of the PFUTP Regulations. These discussions contained in the similar order passed today shall also form part of this order. The same is not reproduced here for the sake of brevity.
55. After discussing the above, in the above said order, I have also observed that related party transactions by themselves are not prohibited in law and are a common form of business transactions. The regulatory framework governing related party transactions intends to provide safeguards in terms of the appropriate disclosure and approval requirements. Accordingly, in the earlier order passed today I have held that once there is no violation of provisions of the LODR Regulations as impugned transaction is not related party transaction; and the amount has come back with interest in normal due course before the start of the investigation, it would be incorrect to categorise such transaction as manipulative or fraudulent transactions or unfair trade practice unless there are other evidences which proves



that there is actually a fraud in these transactions. However, in the instant case, there is no such allegation or evidence in the SCN. Hence, it is held that facts of this case do not meet the requirement of the definition of the term “Fraud”. Hence, it is held that for this reason there is no violation of provisions of PFUTP regulation by *Noticees*.

56. As discussed in the earlier order passed today, it is not deemed necessary to further examine the issue of “dealing in securities” raised by *Noticees*.

D. 3.3 Other violations alleged in the SCN

57. Apart from two issues discussed above, following other violations are also alleged in the SCN against *Noticees* during the investigation period (refer paragraphs 17 to 23 of this order):

- (i) *Noticee nos. 1, 2 and 3* knowingly made misstatement, misrepresentation of financial statement and dissemination of misleading information to recognized stock exchanges and investors and have not complied with the required Audit Committee approvals. Further, *Noticee nos. 1 and 2* failed to comply with the requirement of shareholder approvals for related party transactions.
- (ii) *Noticee nos. 4 and 5* were at the helm of affairs of the listed companies namely, *Noticees nos. 1, 2, and 3* and such transactions were executed with their knowledge, consent and approval.
- (iii) *Noticee nos. 4 and 5* did not act in the best interests of the shareholders of *Noticee nos. 1, 2, and 3* in which they were directors. Further, failed to discharge their responsibilities as directors of these three companies. The *Noticee nos. 4 and 5* are vicariously liable for the regulatory provisions that have been violated by *Noticees nos. 1, 2 and 3*.
- (iv) The *Noticee no. 6* did not act in the best interests of the shareholders of the *Noticee no.3* of which he is CFO and for *Noticee nos.1 and 3* in which he is group CFO. The *Noticee no.6* is vicariously liable for the regulatory provisions that have been violated by *Noticees nos. 1, 2 and 3*. The *Noticee no.6* had



signed compliance certificate of the *Noticee no.3* despite the financial statements omitted disclosures pertaining to related party transactions.

58. The above allegations against *Noticees nos. 1 to 6* can be established only if it is proved that the transactions between *Noticee nos.1, 2 and 3* through *Noticee nos.7 and 8* qualify to be termed as related party transactions. As discussed in the earlier paragraphs, all these other violations are consequential to alleged violation of not classifying impugned transactions as related party transactions. As, it has been held that the impugned transactions were not related party transactions, these allegations in the SCN also do not stand. Therefore, allegations against *Noticees nos.1 to 6* which have been detailed above cannot be sustained.

E. Conclusion

59. In view of above, following is held:

59.1. There is no violation of the provisions of the LODR Regulations as the impugned transactions do not qualify as “*related party transactions*” for the reasons discussed in detail in the earlier part of the order as well as in the similar order passed today. Same is reproduced in brief as under:

- i) Plain reading of the LODR Regulations reveals that transactions between a listed company with unrelated party is not covered within the definition of “*related party transactions*” as it existed during the time when impugned transactions took place.
- ii) Even if we adopt “*substance over form*” doctrine, it is held that the definition of “*related party transactions*” as it existed that time never intended to include within its scope transactions between a listed company and unrelated party. This conclusion is derived based on deferred prospective 2021 amendment to the LODR Regulations which enlarged the scope of the definition of “*related party transaction*” and included for



the first time transactions between a listed company/its subsidiary and unrelated party, the purpose and effect of which is to benefit a related party of the listed entity/its subsidiary. This amendment was made effective from a prospective date of April 1, 2022 and also provided a glide path till April 1, 2023. Reliance was also made on Board memorandum related to this amendment which made it clear that the amendment was to broaden the scope of the definition of “*related party transaction*” and include within its scope what was not included before.

- iii) 2021 amendment to the LODR regulations is substantive amendment and as per accepted legal jurisprudence cannot apply to past transactions.
- iv) Past precedents in SEBI also shows that SEBI has consistently taken the views that before 2021 amendment to the LODR regulations, definition of “*related party transaction*” did not include within its scope the enlarged scope introduced through 2021 amendment to the LODR Regulations.
- v) Expert Committee, appointed by Hon’ble Supreme Court in ***Vishal Tiwari case (supra)***, also held that the deferred prospective amendment of 2021 to the LODR Regulations made it clear that the impugned transactions were not included within the scope of “*related party transaction*” for the period before the amendment. It also found the amendment to be the prerogative of SEBI in its legislative capacity and did not find it to be a case of regulatory failure. It also advocated that once a choice has been made to apply this amendment to prospective transactions, it would be legally impermissible to attack past transactions. In response, the petitioner in the aforementioned case contended before the Hon’ble Supreme Court that this 2021 amendment to the LODR Regulations must be revoked. Hon’ble Supreme Court rejected the plea of the petitioner and held that procedure followed in arriving at the current shape of regulations



is not tainted with any illegality. Hon'ble Supreme Court also held that no valid grounds have been raised to direct SEBI to revoke its amendments to the LODR Regulations which have been tightened by this amendment.

59.2. There is no violation of Section 12A of the SEBI Act and PFUTP Regulations as alleged in the SCN for the reasons discussed in detail in the earlier part of the order and in brief as under:

- i) The main allegation of violation of Section 12A of the SEBI Act and PFUTP Regulations in the SCN flows from non-classification of impugned transactions as "*related party transaction*". Once it is held that there is no violation on that account, the charge under Section 12A of the SEBI Act and PFUTP Regulations do not stand.
- ii) On merit too, it is held that impugned transactions cannot be classified as manipulative or fraudulent transactions or unfair trade practice since: (i) there is no allegation of siphoning off of money or diversion of fund; (ii) all the money has come back with interest before the start of the investigation; and (iii) the impugned transactions have not been held as related party transactions. The SCN does not refer to any evidence (other than related to non-classification of impugned transaction as related party transactions) which can be used for considering the impugned transaction as fraudulent transaction in the absence of violation of the LODR Regulations.

60. Once, it is held that there is no violation of above two main issues, it logically leads to conclusion that there is no violation of all other related violations alleged in the SCN and listed at para 57 above.



F. Direction

61. Accordingly, having considered the matter holistically, I find that the allegations made against *Noticees* in the SCN are not established. Considering the above, the question of devolvement of any liability on *Noticees* does not arise and hence the question of determination of quantum of penalty also does not require any deliberation. I, therefore, in exercise of the powers conferred upon me under section 19 of the SEBI Act, 1992 read with sub-sections (1) and (4) of section 11, sub-section (4A) of section 11 and sub-sections (1) and (2) of section 11B (1) of the SEBI Act, 1992, hereby dispose of the instant proceedings against *Noticees* without any direction.

DATE: September 18, 2025

PLACE: MUMBAI

KAMLESH C. VARSHNEY

WHOLE TIME MEMBER

SECURITIES AND EXCHANGE BOARD OF INDIA